HOPWA SPONSOR COMPLIANCE AUDIT REPORT

2025 Q3-Q4

Federal Audit-Style, Participant-Prepared Compliance Review

Prepared by:

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Program Participant / Client

Los Angeles, California

Programs Reviewed:

- Alliance for Housing and Healing (AFHH) / APLA Health & Wellness (Sponsor)
- Home Supportive Services, Inc. (HSS) (Subcontractor; formerly CERC)

Oversight Authorities:

- Los Angeles Housing Department (LAHD)
- California Civil Rights Department (CRD)
- U.S. Department of Housing and Urban Development (HUD)

Case References:

- LAHD Case Nos. 312074, 315424, SO317127
- CRD Case No. 202507-30477527
- City of Los Angeles Government Claim No. 2025-070311

Report Status: FINAL - Participant-Prepared Audit

Original Issue Date: December 23, 2025

RESULTS IN BRIEF

Why I prepared this report. I prepared this participant-prepared compliance review to document sponsor-level compliance failures, internal control breakdowns, and participant-protection risks in a federally funded **H**ousing **O**pportunities for **P**ersons **w**ith **A**IDS (HOPWA) transitional housing program during 2025 Q3-Q4.

Objective. I assessed whether the sponsor (including subcontractor performance under sponsor (1) delivered core supportive services and transition planning, (2) used written and consistently applied policies for actions affecting housing stability, and (3) maintained internal controls consistent with federal award requirements.

Scope and key timeline points (June-December 2025; Q3-Q4 focus).

- 2025-07-03: Same-day vacate / zero-hour displacement notice.
- 2025-07-09: Staff publicly berated me in a common area; I memorialized the incident by letter and email (E-03A).
- 2025-07-16: Coercive exit/compliance letter.
- 2025-08: LAHD determined I should not be exited.
- 2025-12: 3-Day Pay-or-Quit notice asserted $44,865.
- 2025-10 to 2025-11: Contradictory TBRA "unavailable" then "offered" messaging.

Overall determination (bottom line). Based on the evidence reviewed, the sponsor failed to carry out core obligations to provide supportive services and documented transition planning. Housing-stability risk escalated through coercive notices and displacement pressure before effective oversight correction.

Risk rating. CRITICAL - systemic failures with a high likelihood of participant harm and increased compliance/civil-rights exposure absent immediate corrective action and external oversight.

Severity definitions used in this report.

Severity	Definition (operational)
CRITICAL	Systemic control failure or immediate housing-stability risk requiring urgent corrective action and external oversight.
HIGH	Significant conduct or compliance risk likely to harm participants; prompt corrective action required.
MAJOR	Material weakness requiring corrective action; lower immediacy or narrower scope than CRITICAL/HIGH.

Findings heat map matrix (Domain x Severity).

Domain	CRIT Findings	HIGH Findings	MAJ Findings
OPERATIONS	1, 5, 6, 9	-	-
CIVIL RIGHTS	4, 8	10	-
GOVERNANCE	2, 11	7	3

Questioned costs (summary). A December 2025 3-Day Pay-or-Quit notice asserted **$44,865**, requiring immediate oversight verification for validity, allocation, and compliance posture before any displacement escalation.

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1. EXECUTIVE SUMMARY

Purpose. I prepared this audit-style compliance report to document sponsor-level compliance failures, internal control breakdowns, and participant-protection risks within a HOPWA-funded transitional housing context during 2025 Q3-Q4.

Audit reporting format. I used a federal audit reporting structure for clarity and traceability: ConditionCriteria-Cause-Effect/Risk-Recommendations.

Transparency limitation statement. This is a participant-prepared compliance review, not an independent government audit. I did not have full access to sponsor accounting ledgers, LAHD contract files, drawdown documentation, or complete case management systems; therefore, cost impacts beyond amounts reflected in participant-facing notices require agency verification.

2. OBJECTIVES, SCOPE, METHODOLOGY, AND LIMITATIONS

Objectives. I evaluated whether the sponsor:

- Delivered supportive services and transition planning sufficient to support movement to permanent housing and prevent instability.
- Used written, consistently applied policies for actions affecting participant housing stability.
- Maintained internal controls and escalation protocols appropriate for federally funded program administration.

Scope. June-December 2025 (Q3-Q4 focus), with limited background context where necessary.

Methodology. I reconstructed a timeline from notices, emails, letters, and oversight communications; reviewed participant-facing communications for policy grounding and stabilization controls; and structured findings for corrective action tracking.

Limitations. This is a participant-prepared review. I did not have full access to sponsor/LAHD financial ledgers, drawdown documentation, cost allocations, sub-recipient invoices, or complete case management systems.

3. PROGRAM BACKGROUND AND PARTIES

Program context. This report concerns a federally funded HOPWA transitional housing placement administered locally through LAHD oversight and implemented through sponsor/subcontractor operations.

Parties. I am a program participant housed through a HOPWA-funded transitional housing placement administered by AFHH/APLA (Sponsor) and operated onsite by HSS (Subcontractor). LAHD is the local oversight authority. CRD is investigating my civil-rights complaint.

Sponsor accountability framework used in this report. For corrective-action purposes, I request that oversight authorities treat AFHH/APLA as accountable for subcontractor performance, participant protections, and compliance controls.

4. APPLICABLE CRITERIA AND STANDARDS

Primary federal criteria used (non-exhaustive; most relevant to findings):

- *24 C.F.R. § 574.300* (Eligible activities; supportive services including permanent housing placement).
- *24 C.F.R. § 574.310* (General standards; supportive services availability; termination safeguards and minimum procedures).
- *2 C.F.R. § 200.303* (Internal controls; monitoring; prompt corrective action; safeguarding information).
- *42 U.S.C. § 12901* (HOPWA statutory purpose).
- *42 U.S.C. § 3604(f)(3)(B) and 24 C.F.R. § 100.204* (Reasonable accommodation standard).
- *42 U.S.C. § 3617 and 24 C.F.R. § 100.400* (Anti-interference/anti-retaliation standard).

Secondary criteria referenced in the evidence record (where applicable):

- LAHD HOPWA Manual (April 2022)
- LAHD Directive 51-3 (Nov. 4, 2025)
- Sponsor Policies and Procedures (rev. Nov. 18, 2024)

5. AUDIT CRITERIA CROSSWALK (FINDING -> CFR/USC + SECONDARY CRITERIA)

Table 1. Criteria Crosswalk (Primary Federal Criteria; Secondary Criteria where referenced).

Finding	Domain	Primary Federal Criteria (CFR/USC)	Secondary Criteria (as applicable)
1	OPERATIONS	24 C.F.R. § 574.300; 24 C.F.R. § 574.310; 42 U.S.C. § 12901	LAHD HOPWA Manual; Sponsor P&P
2	GOVERNANCE	2 C.F.R. § 200.303	Sponsor P&P; LAHD HOPWA Manual
3	GOVERNANCE	42 U.S.C. § 12901; 2 C.F.R. § 200.303	Sponsor P&P
4	CIVIL RIGHTS	42 U.S.C. § 3604(f)(3)(B); 24 C.F.R. § 100.204; 2 C.F.R. § 200.303	Sponsor P&P (if accommodation process stated)
5	OPERATIONS	2 C.F.R. § 200.303	Sponsor P&P (if administrative requirements stated)
6	OPERATIONS	24 C.F.R. § 574.300; 24 C.F.R. § 574.310; 2 C.F.R. § 200.303	LAHD HOPWA Manual
7	GOVERNANCE	2 C.F.R. § 200.303; 24 C.F.R. § 574.310	Sponsor P&P
8	CIVIL RIGHTS	42 U.S.C. § 3617; 24 C.F.R. § 100.400; 2 C.F.R. § 200.303	LAHD Directive 51-3 (if referenced)
9	OPERATIONS	24 C.F.R. § 574.310; 2 C.F.R. § 200.303	LAHD HOPWA Manual
10	CIVIL RIGHTS	2 C.F.R. § 200.303; 42 U.S.C. § 3617; 24 C.F.R. § 100.400	Sponsor P&P (site visit rules)

11	GOVERNANCE	2 C.F.R. § 200.303; 24 C.F.R. § 574.310	LAHD HOPWA Manual; Sponsor P&P

6. EVIDENCE LOG (EXHIBIT INDEX)

This section lists exhibits referenced throughout the findings. Full exhibits are available upon request.

Exhibit	Date	Document / Evidence	What it Supports
E-01	2025-06-10 to 2025-06-13	Recertification communications	Continued eligibility and coordination
E-02	2025-06-26	Forced shared-unit proposal; safety concern	Origin of dispute
E-03	2025-07-03	Same-day vacate notice	July displacement harm
E-03A	2025-07-09	Letter and email memorializing public berating by staff (common area)	Hostile/coercive conduct pattern; supports Findings 7 and 11; informs escalation context
E-04	2025-07-16	Exit/compliance letter	Coercive language / unwritten policy enforcement
E-05	2025-09-27	3-Day Pay-or-Quit (first)	Displacement risk
E-06	2025-10-01	LAHD intent-to-evict record	Escalation posture
E-07	2025-10-31	TBRA unavailable email	Delay/inconsistent representation
E-08	2025-11-11	Veterans Day site visit records	Improper visit
E-09	2025-11-12	TBRA offered email	Contradiction
E-10	2025-12-02	Clarification letter to sponsor	Notice of issues
E-11	2025-12-12 to 2025-12-13	3-Day Pay-or-Quit (second)	Active eviction trigger; asserted $44,865
E-12	2025-12-15	School email re form dependency	Administrative impossibility
E-13	2025-12-17	Program manager email extending deadline	Corroboration of unworkable process; HACLA dependency

Exhibit	Date	Document / Evidence	What it Supports
E-14	2025-08	LAHD email: pause eviction; not exited; PTBRA fit	Oversight determination after July harm
E-15	2025-11-19	RA request: virtual TBRA appt	Written RA request + rationale
E-16	2025-11-19	RA denial (Lopez)	Improper denial; no interactive process
E-17	2025-11-19	RA approved (Camacho override)	Feasibility confirmed; denial reversed
OBS-01	2025 (site)	Verbal statement re grievances	No documented independent grievance process

7. CHRONOLOGY OF MATERIAL EVENTS (SUMMARY)

- June 2025: Transitional term ended; recertification completed; no documented exit plan or permanent-housing pathway provided (E-01).
- 2025-07-03: Same-day vacate / zero-hour displacement notice (E-03).
- 2025-07-09: Staff publicly berated me in a common area; I memorialized the incident by letter and email (E-03A).
- 2025-07-16: Coercive exit/compliance letter (E-04).
- August 2025: LAHD determined I should not be exited (E-14).
- 2025-09-27: First 3-Day Pay-or-Quit posted (E-05).
- 2025-10-01: LAHD intent-to-evict record (E-06).
- 2025-10-31: TBRA represented unavailable (E-07).
- 2025-11-11: Veterans Day site visit records (E-08).
- 2025-11-12: TBRA offered (E-09).
- 2025-12-12 to 2025-12-13: Second 3-Day Pay-or-Quit posted (asserted $44,865) (E-11).
- 2025-12-15 to 2025-12-17: School confirmed the housing authority must complete its portion first; deadline extended after escalation (E-12, E-13).

8. FINDINGS SUMMARY TABLE

Table 2. Findings Summary (Standardized).

Finding	Domain	Severity	Title (Short)	Key Exhibits
1	OPERATIONS	CRIT	Supportive services / exit planning / pathway failure	E-01, E-03, E-04, E-14
2	GOVERNANCE	CRIT	Unwritten rules enforced as policy	E-04, E-14
3	GOVERNANCE	MAJ	Biased participant framing in policies	E-14
4	CIVIL RIGHTS	CRIT	Reasonable accommodation process failure (denial later reversed)	E-02, E-03, E-15 to E-17
5	OPERATIONS	CRIT	Impossible administrative requirement imposed	E-12, E-13
6	OPERATIONS	CRIT	TBRA availability decision/communication control failure	E-07, E-09
7	GOVERNANCE	HIGH	Coercive/hostile conduct and communications (includes 2025-07-09)	E-03A, E-04
8	CIVIL RIGHTS	CRIT	Displacement threats clustered after protected activity	E-05, E-06, E-11
9	OPERATIONS	CRIT	No stabilization response to active Pay-or-Quit notice	E-11
10	CIVIL RIGHTS	HIGH	Site visit protocol/privacy/consent failures	E-08
11	GOVERNANCE	CRIT	Systemic internal control and grievance governance failures	E-03A, OBS-01, pattern evidence

9. DETAILED FINDINGS AND RECOMMENDATIONS (FINDINGS 1-11)

The following findings are presented using the Condition-Criteria-Cause-Effect/Risk-Recommendations format. Each finding begins on a new page for clarity and corrective-action tracking.

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FINDING 1 Supportive Services / Exit Planning / Permanent Housing Pathway Failure

Domain: OPERATIONS

Severity: CRITICAL

Key Exhibits: E-01, E-03, E-04, E-14

Condition. At term end and immediately thereafter, the sponsor did not provide a documented exit plan, an updated Individual Housing Plan with milestones, or a transparent permanent-housing pathway. Coercive notices and displacement threats were issued in July 2025 prior to LAHD's August 2025 determination that I should not be exited (E03, E-04, E-14).

Criteria.

- 24 C.F.R. § 574.300 (eligible activities; supportive services including permanent housing placement).
- 24 C.F.R. § 574.310 (general standards; supportive services availability; termination safeguards).
- 42 U.S.C. § 12901 (HOPWA purpose: long-term strategies meeting housing needs of persons with AIDS and their families).

Cause. Controls did not trigger mandatory exit planning and no accountable owner ensured timely supportive services and permanent-housing engagement.

Effect/Risk. Housing instability risk escalated before oversight correction, indicating avoidable escalation attributable to sponsor nonperformance.

Recommendations.

1.1 Implement an exit-planning control requiring documented planning at least 90 days prior to term end, with supervisory approval and a participant copy.

1.2 Require a written permanent-housing pathway timeline for any extension beyond term end, with milestones, owners, and escalation points.

1.3 Prohibit exit/coercive notices absent verified supportive-service delivery and documented transition planning.

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FINDING 2 Unwritten Rules Enforced as Binding Policy

Domain: GOVERNANCE

Severity: CRITICAL
Key Exhibits: E-04, E-14

Condition. Staff asserted unwritten "standard practices" and enforced them as binding program rules impacting housing stability, including a functional hard-cap posture later inconsistent with LAHD's determination (E-04, E-14). Participantfacing actions affecting stability were not consistently tied to written policies.

Criteria.

- 2 C.F.R. § 200.303 (effective internal controls; monitoring; prompt corrective action).

Cause. Governance controls did not require written-policy authority and supervisory review for stabilityimpacting communications.

Effect/Risk. Arbitrary enforcement increases risk of procedural unfairness, unequal treatment, and escalation into displacement pressure.

Recommendations.

2.1 Suspend enforcement of any practice not grounded in written policy; require policy citation in all participant-facing notices.

2.2 Publish and maintain a version-controlled policy library for term-end processes, extensions, notices, and grievance routing.

2.3 Require supervisor sign-off for all stability-impacting notices and communications, with a documented review checklist.

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FINDING 3 Biased/Disrespectful Participant Framing in Sponsor Policies

Domain: GOVERNANCE

Severity: MAJOR

Key Exhibits: E-14

Condition. Sponsor policy language and framing depict participants as inherently problematic or untrustworthy rather than rights-bearing clients (E-14). This framing is operationally significant because it drives staff posture and increases the risk of coercive administration.

Criteria.

- 42 U.S.C. § 12901 (HOPWA purpose).
- 2 C.F.R. § 200.303 (control environment/internal controls; compliance monitoring and correction).

Cause. Policy drafting and review controls did not include a civil-rights/participant-protection lens or supervisory quality review.

Effect/Risk. Stigmatizing policy framing normalizes coercive interactions and increases civil-rights and compliance risk.

Recommendations.

3.1 Conduct a civil-rights and trauma-informed rewrite of participant-facing policies and handbooks.

3.2 Add explicit written commitments to dignity, informed consent, and non-retaliation in participantfacing materials.

3.3 Require annual training and documented competence validation on rights-based service delivery and communication standards.

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FINDING 4 Reasonable Accommodation Process Failure (Denial Later Reversed)

Domain: CIVIL RIGHTS

Severity: CRITICAL

Key Exhibits: E-02, E-03, E-15 to E-17

Condition. A safety-based accommodation issue arose in the context of a forced move to a shared unit with hostility and was memorialized in early July written communications (E-02, E-03). Separately, a virtual-meeting accommodation was denied and later approved without changed circumstances, indicating process failure rather than feasibility constraints.

Criteria.

- 42 U.S.C. § 3604(f)(3)(B) (reasonable accommodations in rules/policies/practices/services when necessary for equal opportunity).
- 24 C.F.R. § 100.204 (reasonable accommodations; includes common/public areas).

Cause. The sponsor lacked a controlled accommodation workflow with documented rationale, escalation, and consistency checks.

Effect/Risk. Improper denial/delay increases safety and stability risk and can chill protected self-advocacy.

Recommendations.

4.1 Implement a written accommodation workflow requiring documented rationale for any denial and a standardized escalation path.

4.2 Track accommodation request timelines and outcomes as a compliance metric and management review item.

4.3 Prohibit destabilizing actions (notices, forced moves, punitive steps) while accommodation requests are pending review.

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FINDING 5 Impossible Administrative Requirement Imposed

Domain: OPERATIONS

Severity: CRITICAL
Key Exhibits: E-12, E-13

Condition. A deadline was imposed for a form that the school confirmed could not be completed until the housing authority completed its portion first (E-12). The program manager later extended the deadline and indicated coordination with HACLA, confirming the original requirement was procedurally unworkable (E-13).

Criteria.

- 2 C.F.R. § 200.303 (internal controls; monitoring compliance; prompt corrective action).

Cause. Operational controls did not account for inter-agency dependencies and improperly shifted upstream agency tasks onto the participant.

Effect/Risk. Impossible requirements increase risk of benefit loss and destabilization unrelated to participant conduct.

Recommendations.

5.1 Align deadlines to upstream dependencies and document ownership of each step (participant vs housing authority vs sponsor).

5.2 Prohibit penalizing participants for delays caused by agency processing or sponsor coordination delays.

5.3 Implement a standard protocol for third-party forms with written timelines, escalation points, and participant-facing instructions.

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FINDING 6 TBRA Availability Decision/Communication Control Failure

Domain: OPERATIONS

Severity: CRITICAL
Key Exhibits: E-07, E-09

Condition. TBRA was represented as unavailable and later offered without a clear, documented explanation (E-07, E-09). The contradictory messaging created uncertainty and delayed transition planning.

Criteria.

- 24 C.F.R. § 574.300 (supportive services; permanent housing placement as an eligible activity).
- 24 C.F.R. § 574.310 (supportive services availability; stabilization expectations).
- 2 C.F.R. § 200.303 (internal controls; compliance monitoring and correction).

Cause. The sponsor lacked a controlled TBRA decision log and a standardized participant communication protocol.

Effect/Risk. Contradictory TBRA messaging delays permanent housing transition and increases housing instability.

Recommendations.

6.1 Implement a TBRA decision log with dates, decision owner, eligibility basis, and participant notification dates.

6.2 Document what changed between 2025-10-31 and 2025-11-12 and preserve the explanation in the case file.

6.3 Provide written non-displacement assurance while TBRA/permanent-housing transition remains pending.

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FINDING 7 Coercive/Hostile Conduct and Communications (Includes 2025-07-09 Public Berating)

Domain: GOVERNANCE

Severity: HIGH

Key Exhibits: E-03A, E-04

Condition. On 2025-07-09, staff publicly berated me in a common area; I memorialized the incident by letter and email (E-03A). On 2025-07-16, the sponsor issued a coercive compliance letter using threatening language later minimized as non-disciplinary (E-04).

Criteria.

- 2 C.F.R. § 200.303 (internal controls; monitoring; corrective action; safeguarding information).
- 24 C.F.R. § 574.310 (termination safeguards and stabilization posture in a supported housing context).
- 42 U.S.C. § 3617 and 24 C.F.R. § 100.400 (anti-interference/anti-retaliation framework; relevant where coercive pressure tracks protected activity).

Cause. Supervisory controls did not prevent, correct, or discipline coercive conduct and did not govern high-risk communications through review.

Effect/Risk. Hostile/coercive conduct escalates fear, chills advocacy, and increases displacement risk and legal exposure.

Recommendations.

7.1 Implement conduct standards and supervisor accountability for staff interactions in common areas, including documentation of corrective action.

7.2 Retire coercive templates and require individualized factual bases and policy citations for any stabilityimpacting communication.

7.3 Establish a rapid de-escalation protocol after any documented staff misconduct affecting participant safety/stability.

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FINDING 8 Displacement Threats Clustered After Protected Activity (Retaliation/Interference Risk)

Domain: CIVIL RIGHTS

Severity: CRITICAL

Key Exhibits: E-05, E-06, E-11 (context: E-03A)

Condition. Multiple notices and eviction postures clustered after oversight engagement, including repeated 3-Day notices and an intent-to-evict posture (E-05, E-06, E-11). This escalation occurred within a broader pattern that included the memorialized 2025-07-09 hostile staff conduct (E-03A).

Criteria.

- 42 U.S.C. § 3617 (unlawful to coerce, intimidate, threaten, or interfere with a person exercising Fair Housing Act rights).
- 24 C.F.R. § 100.400 (prohibited interference, coercion, or intimidation; retaliation examples).
- 2 C.F.R. § 200.303 (controls to prevent, detect, and correct noncompliance).

Cause. Program operations were not firewalled from complaint dynamics, and stabilization controls were not triggered when eviction-risk events emerged.

Effect/Risk. The clustering of displacement pressure increases risk of retaliation/interference claims and magnifies participant harm.

Recommendations.

8.1 Require executive review and written justification for any eviction-risk notice when protected activity/oversight involvement exists.

8.2 Implement a documented non-retaliation safeguard and stabilization plan triggered immediately upon posted notices or threats.

8.3 Coordinate with LAHD/HUD oversight for monitoring until controls are verified effective.

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FINDING 9 No Stabilization Response to Active 3-Day Pay-or-Quit Notice

Domain: OPERATIONS

Severity: CRITICAL

Key Exhibits: E-11

Condition. After the December 2025 3-Day Pay-or-Quit was posted, the sponsor provided no timely written response or non-displacement assurance despite foreseeable harm and time sensitivity (E-11).
There was no documented escalation owner or stabilization protocol evident in the record.

Criteria.

- 24 C.F.R. § 574.310 (minimum termination procedures; termination should occur only in the most severe cases after supportive services).
- 2 C.F.R. § 200.303 (monitoring; prompt corrective action).

Cause. The sponsor lacked a defined crisis-response protocol with clear accountability for eviction-risk events.

Effect/Risk. Failure to respond creates immediate homelessness risk and shifts crisis burden onto the participant.

Recommendations.

9.1 Implement a same-day escalation protocol for any eviction-trigger notice with designated owner and written participant update within 24 hours.

9.2 Require written non-displacement assurance and stabilization plan pending verification and resolution of the asserted amount.

9.3 Maintain a daily written status update until the event is resolved and documented closed.

FINDING 10 - Site Visit Protocol / Privacy / Consent Control Failures

Domain: CIVIL RIGHTS

Severity: HIGH

Key Exhibits: E-08

Condition. Site visits occurred without clear written scope, consent standards, or timely written findings, including a Veterans Day visit when oversight offices were closed (E-08). The circumstances increased the appearance of intimidation and reduced transparency.

Criteria.

- 2 C.F.R. § 200.303 (internal controls; safeguarding information).
- 42 U.S.C. § 3617 and 24 C.F.R. § 100.400 (relevant where visits function as intimidation/interference).

Cause. The sponsor lacked a written site-visit protocol with scope limits, consent/notice requirements, and documentation standards.

Effect/Risk. Improper visits can chill protected activity, increase safety risk perceptions, and create privacy compliance exposure.

Recommendations.

10.1 Implement a written site-visit protocol specifying authority, purpose, scope, consent/notice, and documentation requirements.

10.2 Require written post-visit findings and corrective-action tracking within 5 business days of each visit.

10.3 Prohibit non-emergency holiday visits and require heightened supervisory approval for any visit during sensitive complaint periods.

FINDING 11 - Systemic Internal Control and Grievance Governance Failure

Domain: GOVERNANCE

Severity: CRITICAL

Key Exhibits: E-03A, OBS-01, pattern evidence

Condition. Policies existed on paper but were not operationalized into control activities; roles were blurred; and core stability obligations were not reliably triggered by term end or crisis events. The memorialized 2025-07-09 hostile conduct (E-03A) further indicates inadequate supervisory controls over staff behavior affecting stability and safety.

Criteria.

- 2 C.F.R. § 200.303 (establish/document/maintain internal controls; monitor compliance; prompt corrective action; safeguard information).
- 24 C.F.R. § 574.310 (supportive services availability and termination safeguards; procedural minimums).

Cause. Leadership and governance did not implement, test, and enforce internal controls, including independent grievance routing and crisis escalation protocols.

Effect/Risk. Without effective controls, noncompliance and repeat participant harm are likely, and internal grievance mechanisms are not reliable.

Additional information. Grievance process deficiency: I did not locate any written sponsor policy identifying who reviews grievances or establishing an independent grievance process. During a site interaction, I overheard a senior sponsor representative state to another participant that she "handles grievances," and I have not been provided written grievance routing, independence safeguards, or escalation procedures (OBS-01).

Recommendations.

11.1 Require an independent compliance review and corrective action plan with measurable controls, deadlines, and verification evidence.

11.2 Require monthly monitoring and reporting to LAHD/HUD until controls are verified effective in operation.

11.3 Establish and publish an independent grievance review channel separate from operational actors, with timelines and appeal routing.

10. QUESTIONED COSTS / FUNDS PUT TO BETTER USE (SCHEDULE)

Definitions (federal audit conventions):

- Questioned costs: costs that may be unallowable, unsupported, unreasonable, or otherwise noncompliant (requires verification).
- Funds put to better use: funds that could be used more efficiently if recommendations are implemented (requires quantification).

Limitation. I do not have sponsor/LAHD general ledgers, drawdown documentation, cost allocations, or sub-recipient invoices; therefore, totals beyond participant-facing amounts require agency verification.

Schedule:

Item	Linked Findings	Description	Amount	Requested Verification / Notes
QC-1	8-9	3-Day Pay-or-Quit notice asserting $44,865 (E-11).	$44,865 (asserted; unverified)	Validate calculation, basis, allocation, and compliance posture before any displacement escalation.
FPU-1	1, 6, 11	Avoidable costs attributable to delayed permanent housing placement, repeated crisis escalation, and administrative rework due to weak controls.	Not quantified	Quantify using placement timelines, TBRA decision records, staff time logs, and monitoring reports.

11. MANAGEMENT RESPONSE (NOT RECEIVED AS OF DECEMBER 21, 2025)

As of December 21, 2025, I have not received formal written management responses from AFHH/APLA or HSS for inclusion.

Requested response timing. I request a written management response within 10 business days of receipt of this report.

Requested minimum elements for a federal-style management response:

- For each finding: agree/disagree (with factual basis).
- Corrective actions completed and planned.
- Responsible official(s).
- Target completion date(s).
- Verification evidence to be produced (revised policies, logs, templates, training records, grievance routing documentation).

12. AGENCY COMMENTS AND MY EVALUATION (NOT RECEIVED AS OF DECEMBER 21, 2025)

As of December 21, 2025, I have not received formal written agency comment letters for inclusion.

Evaluation approach (how I will evaluate responses if received):

- Responsiveness to the finding's condition and cited criteria.
- Root-cause remediation (not just symptom treatment).
- Sufficiency of verification evidence.
- Interim participant protections while remediation is underway.
- Timeliness relative to severity.

13. OVERALL CONCLUSION AND CORRECTIVE ACTION REQUESTED

Immediate corrective action and external oversight are warranted to restore compliance, protect participants from displacement, ensure nondiscriminatory and rights-based service delivery, and eliminate enforcement of unwritten rules.

Corrective action requested:

- Implement documented exit planning and permanent-housing pathway controls consistent with HOPWA supportive-service requirements.
- Implement internal controls consistent with 2 C.F.R. § 200.303, including monitoring and prompt corrective action.
- Implement a documented accommodation workflow consistent with 42 U.S.C. § 3604(f)(3)(B) and 24 C.F.R. § 100.204.
- Implement non-retaliation safeguards and stabilization protocols consistent with 42 U.S.C. § 3617 and 24 C.F.R. § 100.400.
- Establish a documented independent grievance review process with routing, timelines, and independence safeguards.

14. DECLARATION

I declare under penalty of perjury under the laws of the State of California that the factual statements in this report are true and correct to the best of my knowledge.

Walter Escobar

Date: December 23, 2025

APPENDIX A: EXPANDED TIMELINE (DATE-ORDERED)

- June 2025: Transitional term ended; recertification completed; no documented exit plan or permanent-housing pathway provided (E-01).
- 2025-07-03: Same-day vacate / zero-hour displacement notice (E-03).
- 2025-07-09: Staff publicly berated me in a common area; I memorialized the incident by letter and email (E-03A).
- 2025-07-16: Coercive exit/compliance letter (E-04).
- August 2025: LAHD determined I should not be exited (E-14).
- 2025-09-27: First 3-Day Pay-or-Quit posted (E-05).
- 2025-10-01: LAHD intent-to-evict record (E-06).
- 2025-10-31: TBRA represented unavailable (E-07). • 2025-11-11: Veterans Day site visit records (E08).
- 2025-11-12: TBRA offered (E-09).
- 2025-12-12 to 2025-12-13: Second 3-Day Pay-or-Quit posted (asserted $44,865) (E-11).
- 2025-12-15 to 2025-12-17: School confirmed the housing authority must complete its portion first; deadline extended after escalation (E-12, E-13).

APPENDIX B: EVIDENCE-TO-FINDING TRACE TABLE

Finding	Evidence (Exhibit IDs)
1	E-01, E-03, E-04, E-14
2	E-04, E-14
3	E-14
4	E-02, E-03, E-15 to E-17
5	E-12, E-13
6	E-07, E-09
7	E-03A, E-04
8	E-05, E-06, E-11 (context: E-03A)
9	E-11
10	E-08
11	E-03A, OBS-01, pattern evidence

APPENDIX C: RECOMMENDATION INDEX

- Finding 1: 1.1-1.3
- Finding 2: 2.1-2.3
- Finding 3: 3.1-3.3
- Finding 4: 4.1-4.3
- Finding 5: 5.1-5.3
- Finding 6: 6.1-6.3
- Finding 7: 7.1-7.3
- Finding 8: 8.1-8.3
- Finding 9: 9.1-9.3
- Finding 10: 10.1-10.3
- Finding 11: 11.1-11.3